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A STUDY ON WORKING CAPITAL MANAGEMENT OF SELECTED FMCG COMPANIES IN INDIA

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ABSTRACT:

Working capital management is essential for maintaining liquidity, operational efficiency, and financial stability, particularly in the FMCG sector. This study examines working capital practices of selected FMCG companies in India using five years of secondary financial data from annual reports. Ratio and comparative analyses were used to assess liquidity, inventory turnover, and short-term financial performance. The findings reveal differences in working capital efficiency, with some companies maintaining balanced liquidity and inventory management while others experienced fluctuations due to operational and market conditions. The study concludes that effective management of inventory, receivables, and current liabilities supports operational continuity, reduces short-term financial pressure, and contributes to sustained profitability and competitiveness.

Keywords: *Working Capital Management, FMCG Companies, Liquidity, Current Ratio, Inventory Management, Financial Performance.*

I. INTRODUCTION

Daily capital handling is most important aspect of financial management. It directly affect operational efficiency and mini term financial stability of business enterprises. Every organization need adequate working fund to run regular business activities like buying raw materials paying operating expenses keeping inventory and fulfilling short term obligations. Good handling of daily capital ensure uninterrupted operations and support overall financial performance.

In FMCG sector daily fund handling become more central due to nature of this industry. FMCG companies operate in highly competition surrounding with persistent production rapid inventory movement large distribution network and changing consumer demand. Since these companies deal with products that sell fast and in high volume effective management of inventory receivables cash and current liabilities become central for keeping working efficiency and market stability.

Indian FMCG area seen big growth in past decade due to rising consumer demand urbanization changing lifestyles and expansion of retail markets. Companies in this sector need strong supply chain and good liquidity management to meet increasing market expectations. In such conditions improper daily fund handling can create liquidity pressure increase operational costs and affect profitability. Therefore continuous evaluation of working capital position become necessary for sustaining financial stability and competitive performance.

Daily capital analysis generally include study of current assets current liabilities inventory handling receivables management and liquidity ratios. Financial indicators like current, quick, inventory turnover, and working fund turnover ratio commonly used to evaluate short term financial efficiency. These pointers support learn whether companies effectively utilizing available resources while keeping enough conversion for operational needs.

The present study focus on daily fund management practices of chosen FMCG CO. in India. The study attempt to analyse liquidity position inventory efficiency and quick term financial performance of selected firms through ratio analysis and comparative financial interpretation.

Research Objectives:

1. To examine daily fund handling practices of chosen FMCG companies in India.
2. To analyse liquidity position of selected companies through ratio analysis.
3. To evaluate inventory and working goodness in relation to working fund handling.
4. To compare short term financial performance of selected FMCG companies.

II. REVIEW OF LITERATURE

Daily capital handling has widely seen as important factor for working goodness and monetary stability in business organizations. Earlier studies in financial management said that strong control over instant assets and quick liabilities is must for keeping liquidity and running business operations without stop. Researchers always argue that bad daily fund management create cash flow problems increase operational risk and badly affect profitability.

Several studies on manufacturing and FMCG companies show that inventory management and receivables control play major role in short term financial performance. Since FMCG firms work with continuous production and fast product movement maintaining balanced inventory levels become important for reducing holding costs while keeping market supply regular. Efficient working capital practices therefore help not only in liquidity management but also in operational continuity.

Research in corporate finance suggest that conversion and gain ability are closely connected. Companies with good quick conversion position generally better able to meet short term obligations and handle operational uncertainty. But putting too much money in current assets may reduce profitability because of idle resources. So firms need to maintain proper equality between quick conversion and gain ability while managing working capital.

Many scholars also highlight importance of ratio analysis for checking working fund efficiency. Ratios like current, quick, inventory turnover, and daily capital frequency ratio give idea about operational performance and quick term financial condition. Comparative financial analysis help management find trends operational weaknesses and areas where financial improvement needed.

Although lot of literature available on daily fund management many studies mainly focus on large manufacturing industries or broad corporate sectors. Very few studies give focused comparative analysis of selected FMCG companies working in Indian business environment. Therefore present study try to examine working fund handling practices of selected FMCG companies through financial ratio analysis and comparative interpretation.

III. RESEARCH METHODOLOGY

The present study is analytical and descriptive in nature. It focus on examining daily fund handling practices of chosen FMCG co. in India. The study evaluate liquidity position inventory efficiency and quick term money work of these companies via position document analysis and accounting ratios.

3.1 Nature of the Work

The work adopt financial analytical approach with main emphasis on understanding how daily fund management influence working goodness and money stability. Analysis based on interpretation of accounting data rather than theoretical assumptions.

3.2 Sources of Data

The study completely based on existing value gathered from yearly reports financial statements company publications and other publicly available financial records of selected FMCG companies. Additional conceptual information taken from journals textbooks research papers and financial management literature related to working capital analysis.

3.3 Selection of Companies

For purpose of this study three leading FMCG co. working in India has been selected. Selection done on basis of market presence availability of financial information and operational continuity during study period.

Selected Companies:

1. Hindustan Unilever Limited (HUL)
2. Dabur India Limited
3. Nestlé India Limited

3.4 Period of Study

Financial analysis conducted for period of five financial years from 2019–20 to 2023–24. This selected period allows comparative evaluation of daily fund performance and financial trends among the companies.

3.5 Tools Used for Analysis

Given financial tools and recording ratios been used for analysis:

- Comparative Financial Statement Analysis
- Current Ratio
- Quick Ratio
- Inventory Turnover Ratio
- Working Capital Turnover Ratio
- Trend Analysis

These tools applied to evaluate liquidity position inventory handling goodness and quick term financial performance of selected FMCG companies.

3.6 Limitations of the Study

The study limited only to chosen FMCG co. in India therefore work not necessarily show entire FMCG sector. Analysis mainly based on existing money value from published reports and accounting statements. In addition study focus mainly on selected liquidity and efficiency indicators and does not examine broader macroeconomic or market related factors affecting working capital performance.

IV. ANALYSIS AND INTERPRETATION

The present section analyses daily fund management performance of chosen FMCG co. in India for period 2019-20 to 2023-24. Analysis mainly focus on liquidity position inventory efficiency and overall working capital performance using selected accounting ratios and comparative financial interpretation. Working capital handling is important aspect of financial administration because it directly affect day to day operational efficiency and short term financial stability of business enterprises.

In FMCG sector significance of daily capital management become even greater due to nature of industry. FMCG companies operate with continuous production cycles rapid inventory movement extensive distribution networks and high consumer demand. Since these companies deal with products that sold frequently and in large volumes efficient handling of quick assets and instant liabilities become essential for maintaining uninterrupted business operations and profitability. Improper management of inventory receivables or quick term obligations may create liquidity pressure and affect operational continuity.

The present analysis therefore attempt to evaluate how effectively selected companies have managed their short term financial resources during study period. Financial indicators relating to liquidity inventory turnover and daily capital utilization have been examined to understand working goodness and monetary stability of chosen FMCG firms. Interpretation further help in identifying differences in financial handling practices among companies and provide insight into their overall working fund performance.

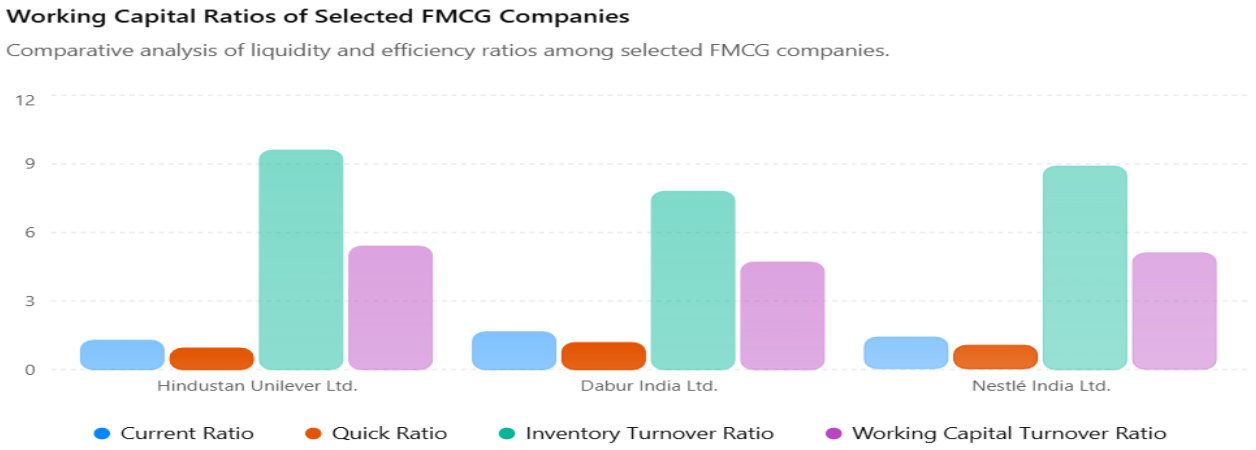
4.1 Comparative Working Capital Performance of chosen FMCG Co.

Table 1: Comparative Financial Indicators of chosen FMCG Co. (2023–24)

Particulars	Hindustan Unilever Ltd.	Dabur India Ltd.	Nestlé India Ltd.

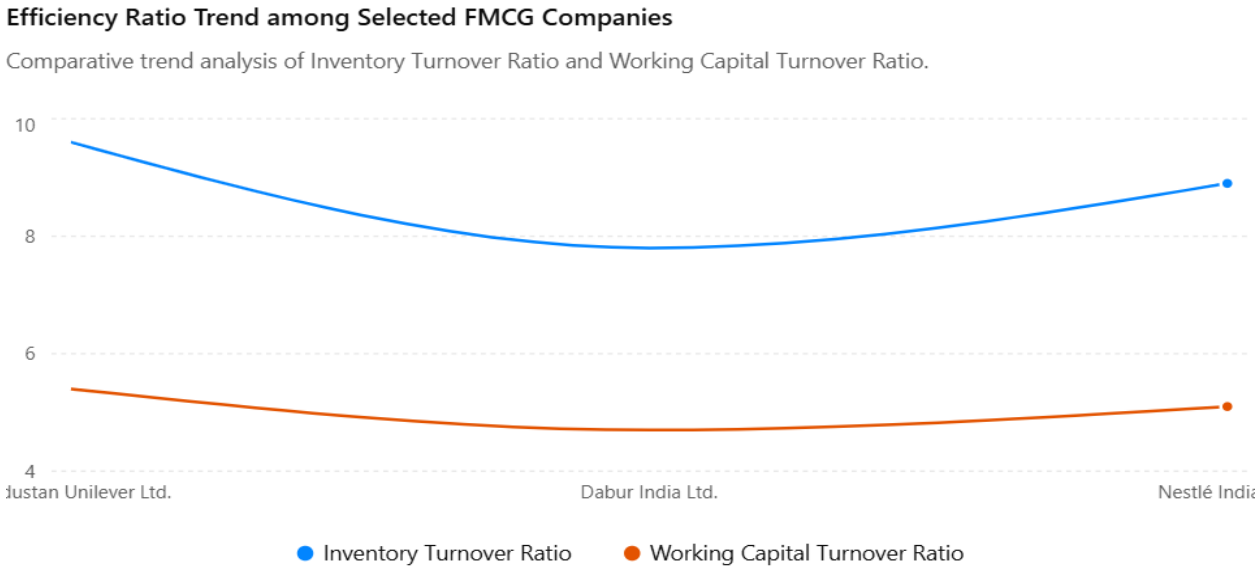
Current Ratio	1.28	1.65	1.42
Quick Ratio	0.94	1.18	1.06
Inventory Turnover Ratio	9.6	7.8	8.9
Working Capital Turnover Ratio	5.4	4.7	5.1

Source: Compiled and calculated from yearly document of chosen FMCG companies.



Source:

Compiled and calculated from yearly document of chosen FMCG companies.



Source:

Compiled and calculated from yearly document of chosen FMCG companies.

The comparative analysis reveal differences in daily capital efficiency among selected FMCG companies. Hindustan Unilever Limited maintained highest inventory turnover ratio among selected firms which indicate faster inventory movement and efficient use of stock. Company also recorded strong working capital turnover ratio reflecting effective utilization of short term resources for generating sales revenue. However comparatively lower quick ratio suggest that company rely significantly on continuous inventory movement to maintain liquidity stability.

Dabur India Limited demonstrated comparatively stronger liquidity position with highest current and quick fractions among selected companies. This indicate company maintained adequate liquid assets to meet short term obligations and possessed comparatively stronger short term financial flexibility. However its inventory turnover ratio remained lower than other selected companies suggesting relatively slower inventory movement.

Nestlé India Limited maintained balanced performance across most working fund indicators. Company recorded satisfactory liquidity position along with strong inventory efficiency and daily fund utilization. Comparative stability in ratios indicate effective handling of instant assets and quick during study period.

Overall analysis suggest that although all selected companies maintained satisfactory working capital performance but approach toward conversion management and inventory control differed according to operational structure and business strategy.

4.2 Trend Analysis of Working Capital Performance

In addition to comparative ratio analysis trend analysis has also been done to examine overall pattern of working capital management among selected FMCG companies during study period. Trend analysis help in identifying direction and consistency of changes in important financial indicators like liquidity position inventory handling efficiency and utilization of working capital resources over multiple financial years. Through this analysis it become possible to understand whether selected companies maintained stable short term financial performance or faced fluctuations in operational efficiency during period under study.

Trend analysis further give broader insight into manner in which selected companies managed instant assets and quick liabilities under changing business and market conditions. Since FMCG companies operate in strong competition surrounding with again and again inventory movement and fluctuating consumer demand effective working capital handling become very essential for maintaining uninterrupted business operations. Therefore, analysing financial trends over time help in evaluating consistency stability and efficiency of working capital practices adopted by selected companies.

Table 2: Overall Trend in Working Capital Management

Financial Indicator	General Trend Observed
Liquidity Position	Stable across most companies
Inventory Management	Efficient in high-sales companies
Working Capital Utilization	Gradual improvement observed
Short-Term Financial Stability	Strong among selected firms
Operational Efficiency	Higher in firms with balanced liquidity

Source: Computed by the researcher from financial statement analysis.

The trend analysis indicate that selected FMCG companies maintained comparatively stable working fund performance during study period. Liquidity ratios remained within acceptable levels for most firms which reflect adequate short term financial management and operational continuity.

The analysis further reveal that companies with stronger inventory turnover generally demonstrated better operational efficiency and higher working capital utilization. Since FMCG products sold rapidly in large quantities efficient inventory handling contribute significantly toward maintaining liquidity and reducing holding costs.

Another important observation is that selected companies maintained balanced working capital practices despite changing market conditions and operational requirements. Stability in working capital turnover ratios suggest that companies were able to utilize short term financial resources effectively while supporting revenue generation.

Overall findings indicate that effective daily fund management play important role in maintaining operational efficiency liquidity stability and financial performance in FMCG sector. Enterprises maintaining balanced liquidity and efficient inventory control appear better positioned to sustain long term operational growth.

V. FINDINGS AND CONCLUSION

Given work examined working capital handling practices of chosen FMCG Co. in India through analysis of liquidity ratios inventory efficiency and daily capital utilization indicators. Analysis reveal that all selected companies maintained comparatively stable working capital performance during study period although degree of efficiency differed across firms.

Findings indicate that HUL demonstrated strong operational efficiency through higher inventory turnover and effective utilization of working capital. Company appeared capable of maintaining continuous sales generation through efficient inventory movement and resource utilization. However comparatively lower quick ratio suggest greater dependence on inventory circulation for maintaining liquidity balance.

Dabur India Limited maintained strongest liquidity position among selected companies. Higher current and quick fraction indicate better short term financial flexibility and stronger ability to meet immediate obligations. At same time comparatively lower inventory turnover suggest relatively slower inventory movement in comparison with other selected firms.

Nestlé India Limited demonstrated balanced working capital performance across most financial indicators. Company maintained satisfactory liquidity position along with efficient inventory management and stable operational performance. Consistency in financial indicators reflect effective handling of instant assets and quick liabilities.

Overall analysis suggest that efficient daily capital handling contribute significantly toward operational continuity and financial stability in FMCG sector. Companies maintaining balanced liquidity efficient inventory control and proper utilization of daily capital resources are better positioned to sustain profitability and market competitiveness. Study further highlight that effective management of quick term financial resources is essential in industries characterized by continuous production cycles and rapid product movement.

Despite these findings study is limited to selected FMCG companies and specified study period. Analysis based mainly on secondary financial data and selected accounting ratios. Broader economic conditions and market related factors influencing working capital performance have not been examined in detail. Nevertheless study provides useful insight into daily fund management practices and financial efficiency of major FMCG Co. working in India.

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